

¹ Coauthored with David Dodd and first published in 1934.

² The Grossbaums changed their name to Graham during World War I, when German-sounding names were regarded with suspicion.

³ Graham-Newman Corp. was an open-end mutual fund (see Chapter 9) that Graham ran in partnership with Jerome Newman, a skilled investor in his own right. For much of its history, the fund was closed to new investors. I am grateful to Walter Schloss for providing data essential to estimating Graham-Newman's returns. The 20% annual average return that Graham cites in his Postscript (p. 532) appears not to take management fees into account.

⁴ The text reproduced here is the Fourth Revised Edition, updated by Graham in 1971–1972 and initially published in 1973.

* The two partners Graham coyly refers to are Jerome Newman and Benjamin Graham himself.

[†] Graham is describing the Government Employees Insurance Co., or GEICO, in which he and Newman purchased a 50% interest in 1948, right around the time he finished writing *The Intelligent Investor*. The \$712,500 that Graham and Newman put into GEICO was roughly 25% of their fund's assets at the time. Graham was a member of GEICO's board of directors for many years. In a nice twist of fate, Graham's greatest student, Warren Buffett, made an immense bet of his own on GEICO in 1976, by which time the big insurer had slid to the brink of bankruptcy. It turned out to be one of Buffett's best investments as well.

* Because of a legal technicality, Graham and Newman were directed by the U.S. Securities & Exchange Commission to "spin off," or distribute, Graham-Newman Corp.'s GEICO stake to the fund's shareholders. An investor who owned 100 shares of Graham-Newman at the beginning of 1948 (worth \$11,413) and who then held on to the GEICO distribution would have had \$1.66 million by 1972. GEICO's "later-organized affiliates" included Government Employees Financial Corp. and Criterion Insurance Co.

¹ Graham's anecdote is also a powerful reminder that those of us who are not as brilliant as he was must always diversify to protect against the risk of putting too much money into a single investment. When Graham himself admits that GEICO was a "lucky break," that's a signal that most of us cannot count on being able to find such a great opportunity. To keep investing from decaying into gambling, you must diversify.

² Dante Alighieri, *The Inferno*, Canto XXVI, lines 112–125, translated by Jason Zweig.